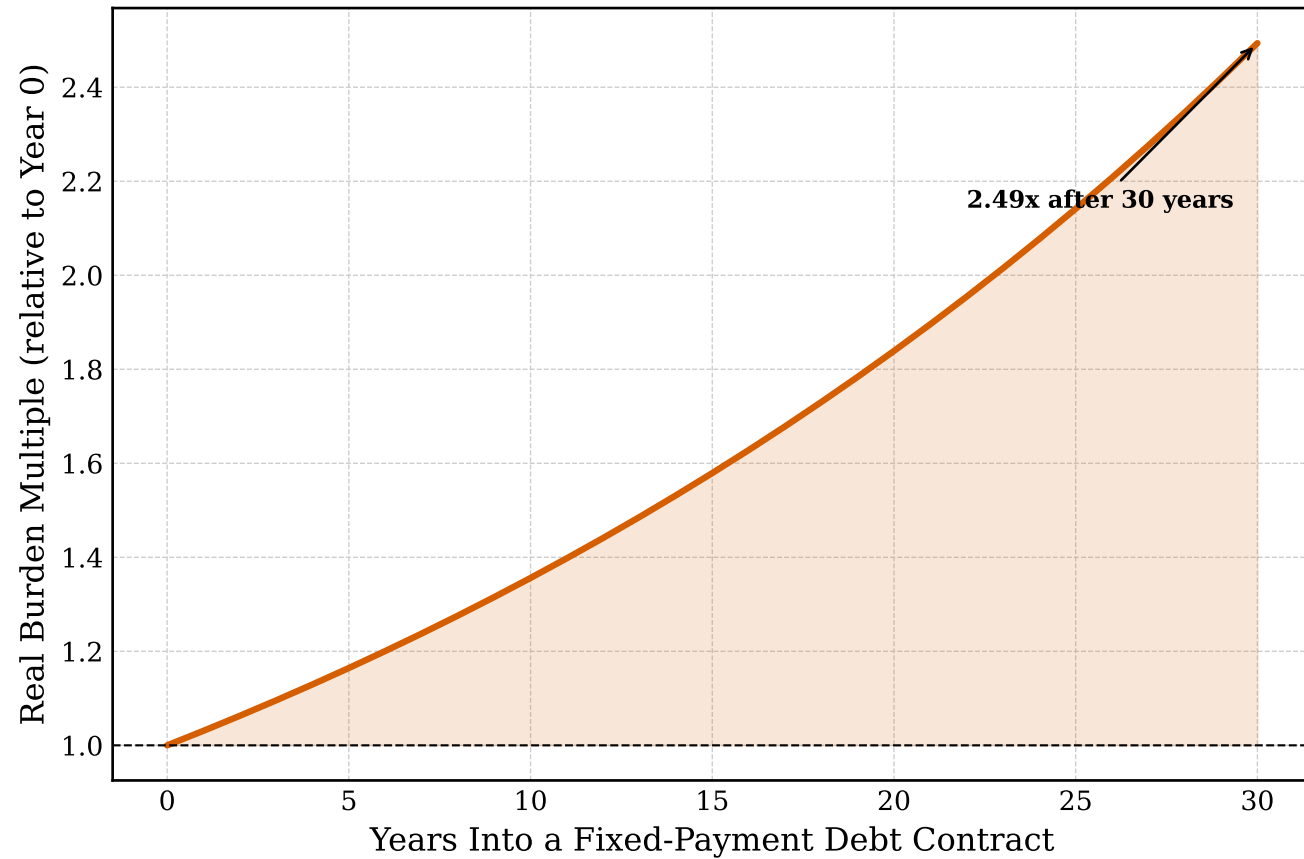
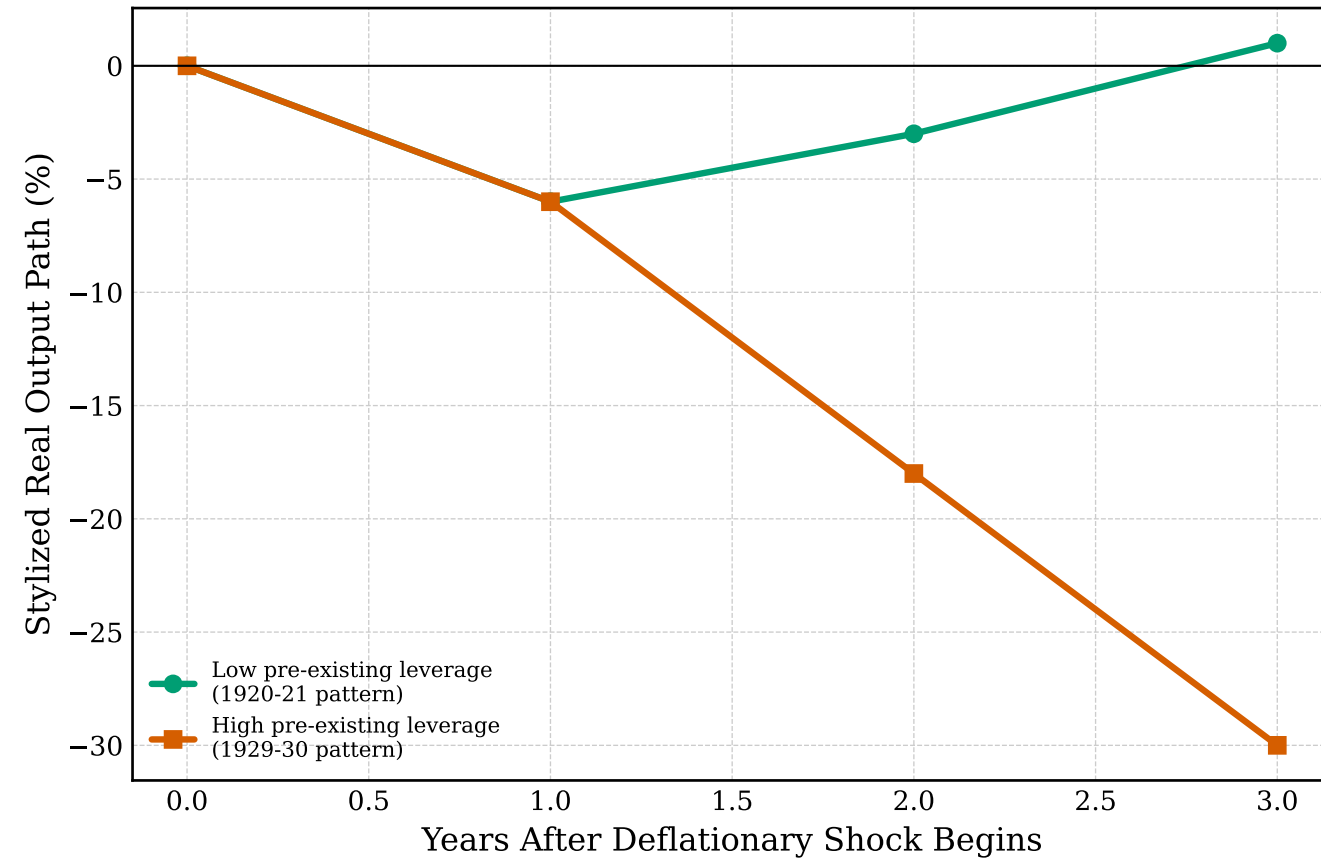


Debt-Deflation: Magnitude (left) and Mechanism (right) (Fig. 9)

Real Burden of a Fixed Nominal Payment
Under 3%/yr Deflation



Same Deflation, Different Outcome:
Mechanism is Leverage, Not Sign



Left: deterministic calculation $real_burden(t) = (1 - 0.03)^{-t}$. Right: STYLIZED, illustrative curves (not a fitted historical reconstruction) making the qualitative point, sourced to Dimand (1994), that 1920-21 and 1929-30 were both deflations but diverged sharply because of pre-existing private-sector leverage -- the mechanism this paper's deflation critique actually depends on, not deflation's sign alone.